SECURITYIRELANDPOLICYBRIEF

Removing the Ministerial Veto

The Industrial Development (Amendment) Bill 2026 and Ireland's Defence, Security and Resilience Enterprise Landscape

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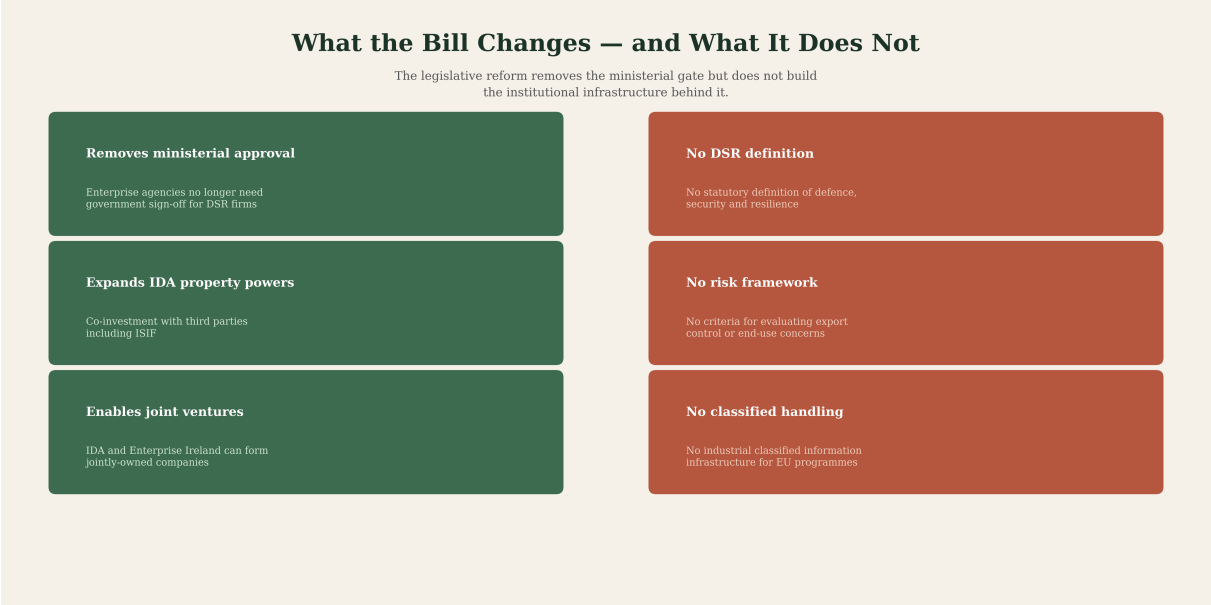

Figure 1: What the Bill changes and what it does not. The legislative reform removes the ministerial gate but does not build the institutional infrastructure behind it.

Background

On 28 April 2026, the Department of Enterprise, Tourism and Employment announced the Industrial Development (Amendment) and Miscellaneous Provisions Bill 2026. The legislation removes a provision in the Industrial Development Act that requires government approval before the IDA, Enterprise Ireland, or other state development agencies can support enterprises engaged in activities of a military or defence-related nature.

The provision being repealed was originally designed for the now-dissolved Eolas agency—a research body that predates the current enterprise architecture. The government has acknowledged that the restriction is outdated, broad in scope, open to varying interpretations, and creates practical difficulties for agency teams.

It is important to note that the amendment does not create a new policy. It simply removes an institutional obstacle that has prevented Irish enterprise agencies from treating DSR-aligned firms like any other part of the economy. Existing regulatory controls—export licensing, dual-use regulations, EU sanctions compliance—remain fully in force.

What the Bill Does

Removes the ministerial approval requirement. Enterprise agencies will no longer need government sign-off to support DSR-aligned firms.

Expands the IDA's property powers. The IDA can co-invest in property and infrastructure with third parties, including the Ireland Strategic Investment Fund.

Enables joint ventures. The IDA, alone or jointly with Enterprise Ireland, can establish jointly-owned companies with third parties for developing industrial property and infrastructure.

Does This Mean Ireland Has a Defence Industry?

No, the Bill does not create a defence industry. It creates the legal permission for enterprise agencies to engage with firms operating in the DSR space. The distinction matters.

Ireland has approximately 550 firms active in dual-use technology and a dual-use export market valued at €2.4 billion. Ubotica Technologies uses AI-enabled satellites to track dark vessels. Cathx Ocean's underwater imaging surveys critical seabed infrastructure. Provizio builds sensor systems. VRAI develops VR simulation for defence training. Reamda manufactures bomb disposal robots for the Defence Forces.

What Ireland is not doing—and will not do—is manufacturing fighter jets, tanks, ammunition, or strategic weapons platforms. Minister Burke described the focus as 'defence, security and resilience—not military activity.'

What the Bill Does Not Do

The Bill removes a gate. It does not build the road behind it. Several institutional gaps remain.

No definition of DSR. The Department lists examples but the Bill establishes no statutory definition. Without one, the same interpretive ambiguity re-emerges. The old question was 'does this need ministerial approval?' The new question: 'is this DSR?'

No Enterprise Ireland risk assessment framework. There is no published framework for evaluating reputational risk, export control exposure, or end-use concerns. Enterprise Ireland has no institutional experience assessing whether a maritime AI application crosses from civilian surveillance into military targeting, or whether a cybersecurity tool is defensive or offensive.

No criteria for agency support decisions. The old system had a blunt instrument: ministerial sign-off. The new system has no instrument. EU dual-use export controls do not guide whether Enterprise Ireland should back a firm developing drone detection versus drone strike capability.

No classified information handling. Firms in EU defence programmes must handle classified data. Ireland has no industrial classified information infrastructure. The IDA's new co-investment powers could build this, but only if the government identifies it as a priority.

Figure 2: Progress on the five institutional prerequisites. Only enterprise agency engagement (addressed by the Bill) is complete. Security clearances are partially underway. Three prerequisites have not been started.

What Remains to Be Built

The Bill addresses one of five prerequisites. The remaining four require separate action.

1. Security clearance system. Interim clearances underway, but must become permanent. Without them, firms cannot receive classified programme data. The EDF 2026 calls are open now. Timeline: Q2 2027.

2. Export control framework. No Munitions List implementation, no end-user certificate system, no re-export controls. Full Wassenaar Arrangement alignment is needed for EU defence supply chain participation.

3. Industrial participation policy. Ireland will spend €2.5bn on defence procurement over the next decade. Without a policy requiring international primes to provide workshare, that money flows abroad with no return.

4. DSR engagement framework. Enterprise Ireland and the IDA need: a working DSR definition, risk assessment criteria, staff training, and protocols for distinguishing defensive tech from weapons systems. The Bill gives permission. The framework gives competence.

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